

Public Money Down the Drain

Thanks
to delays, 336
Central projects
suffer Rs 40,000
crore cost
overrun

If you thought it was just the big-ticket private sector plans which are languishing, think again. According to the Ministry of Statistics and Programme Implementation (MOSPI), figures for December 2007 show 336 projects, each with an outlay of Rs 100 crore and above, are set to suffer Rs 40,000 crore cost overrun at the expense of the taxpayer.

At stake are 200 roadway projects with outlays of Rs 60,875 crore, 133 railway projects with outlays of Rs 67,095 crore, and 62 power sector projects with anticipated capacity expansion of Rs 1,12,377 crore.

Nearly three-fourth of the overrun is concentrated in railway projects which are expected to cost 79 per cent

more than envisaged when they were formulated. Next two sectors in terms of overrun are petroleum with a cost overrun of Rs 6,356 crore and power with Rs 2,241 crore.

Blame it on the cost escalations of materials that go into projects, or change in the scope of the project and/or slippages—the latter being more damaging as it additionally involves costs to economy of delayed infrastructure facilities—but the scene is far from reassuring.

As many as 31 projects have reported fresh slippages in the range of 1-48 months. In most cases the authorities concerned have offered no reasons for fresh delays. So as many as 210 projects would miss their scheduled dates of commissioning, apart from 82 projects which were sanctioned sans any fixed dates of commissioning.

“Even the ambitious urban development scheme—Jawaharlal Nehru National Renewal Mission announced with much fanfare in 2005—is crying out for usage of funds with only Rs 1,200-1,500 crore being spent so far and another Rs 4,000-5,000 crore in the process of allocation out of an outlay of a whopping Rs 60,000 crore, while all the talk of a second Mumbai airport has got drowned in the cacophony of a proposed financial hub,” says Harsh Shrivastava, senior vice-president, Feedback Ventures.

TIME AND COST OVERRUNS OF CENTRAL PROJECTS*

SECTOR	NO. OF PROJECTS	APPROVED COST	COST OVERRUN	DELAY (Months)
RTH	86	Rs 21,252 cr	Rs 534 cr	1-72
STEEL	14	Rs 2,039 cr	Rs 69 cr	1-17
PETROLEUM	25	Rs 36,183 cr	Rs 10,183 cr	1-48
POWER	29	Rs 41,478 cr	Rs 1,472 cr	1-62
RAILWAYS	33	Rs 10,490 cr	Rs 8,549 cr	3-159

*Quarterly status report for period ended June 2007 of the MoSPI.
RTH: Road Transport and Highways.

out this mess?”

It is not that the solutions are hard to find. Almost every government since 1993 has fashioned its own version of speedy clearances of what is now called “one window clearance”. On ground, the investor seems to be walking through a hall of mirrors. It takes just over 365 days in China, from MOU to blasting the furnace. In India, just the clearances could take between three and five years. These include six months to two years for getting the land, a year or two for water and environment and the physical creation of the plant, which takes at least three years. Even then there is no guarantee that the project will take off. Projects like the Vadhwani-PNO container port, planned at a whopping \$1 billion a decade ago, have vanished into thin air. “With little monitoring of state projects and, more importantly, private sector projects, and billions of dollars pouring in infrastructure projects, it is anybody’s guess where the money

is going,” shrugs Arvind Mahajan, executive director, KPMG.

Of course, there is a higher sensitivity to rights of stakeholders. Patnaik, for instance, has a step-by-step policy in his state where clearances for ore and land are released in phases as he sees investment on ground. That is good, but all this is happening sluggishly and in turn slowing down the process. In Orissa, only about a quarter of the 40,000-odd acres required for nine projects, including those of Posco, Mittal, Tata, Jindal Steel and Power, Essar, Vedanta, is in the hands of promoters, and only Posco has been recommended for grant of licence for iron ore mines.

The Centre is almost helpless. “The Government is alive to the problems of the steel sector and will take all steps to remove hurdles on increasing capacity,” assures Steel Minister Ram Vilas Paswan, agreeing on the need for a sound policy on the allocation of iron ore mines. That may take time to

translate into a policy, given the policy wrangles between the commerce and the steel ministries, just as the relief and rehabilitation policy is stuck at the Centre since last October.

President of the Confederation of Indian Industry and managing director of ICICI Bank, K.V. Kamath, says the country needs \$600 billion (Rs 24 lakh crore) of investments in infrastructure between now and 2015. But these will come through only if the Government narrows the distance between promise and performance. The dividends are clearly manifold. Capacity addition would help fight inflationary pressures, new investments will drive development in these backward states and all this will create employment.

It is for India’s politicians bleating at the feet of steel and cement producers for price-cuts to understand that addressing the supply side makes both economic and political sense. It is both an imperative and an opportunity. ■